
1Q25 FINANCIAL RESULTS

EARNINGS CALL TRANSCRIPT

April 11, 2025

MANAGEMENT DISCUSSION SECTION

Operator: Good morning, ladies and gentlemen. Welcome to JPMorganChase's First-Quarter 2025 Earnings Call. This call is being recorded. Your line will be muted for the duration of the call. We will now go live to the presentation. The presentation is available on JPMorganChase's website. Please refer to the disclaimer in the back concerning forward-looking statements. Please stand by.

At this time, I would like to turn the call over to JPMorganChase's Chairman and CEO, Jamie Dimon, and the Chief Financial Officer, Jeremy Barnum. Mr. Barnum, please go ahead.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

Thank you and good morning, everyone. Starting on page 1, the Firm reported net income of \$14.6 billion, EPS of \$5.07 on revenue of \$46 billion, with an ROTCE of 21%. These results included a First Republic-related gain of \$588 million, which was previously disclosed in the 10-K.

On page 2, we have more on our first-quarter results. The Firm reported revenue of \$46 billion, up \$3.5 billion, or 8% year-on-year. NII ex. Markets was down \$430 million, or 2%, driven by the impact of lower rates and deposit margin compression, as well as lower deposit balances in CCB. This was predominantly offset by higher Card revolving balances, the impact of securities activity, including from prior quarters, as well as higher wholesale deposits. NIR ex. Markets was up \$2.2 billion, or 20%, and excluding the significant item I just mentioned, was up 14%, largely on higher asset management fees, lower net investment securities losses and higher investment banking fees. And Markets revenue was up \$1.7 billion, or 21%.

Expenses of \$23.6 billion were up \$840 million, or 4%, largely driven by compensation, including growth in employees across the front office and technology, higher brokerage and distribution fees, as well as marketing and legal expense.

The quarter also reflected a \$323 million release of the FDIC special assessment accrual compared with a \$725 million increase in the prior quarter. Credit costs were \$3.3 billion, with net charge-offs of \$2.3 billion and a net reserve build of \$973 million. We have more details on the reserve build on page 3. With this quarter's reserve build, the Firm's total allowance for credit losses is \$27.6 billion.

Let's take a second to add a little bit of context to our thinking surrounding this number in light of the unique environment of the last several weeks. Our first quarter allowance is anchored on the relatively benign central case economic outlook, which was in effect at the end of the quarter. But, in light of the significantly elevated risks and uncertainties at the time, we increased the probability weightings associated with the downside scenarios in our CECL framework. As a result, the weighted-average unemployment rate embedded in our allowance is 5.8%, up from 5.5% last quarter, driving the \$973 million increase in the allowance.

So with that in mind, the consumer build of \$441 million was driven by changes in the weighted-average macroeconomic outlook. The wholesale build of \$549 million was predominantly driven by credit quality changes on certain exposures and net lending activity, as well as changes in the outlook. In addition, it's important to note that the increase in the allowance is not, to any meaningful degree, driven by deterioration in the actual credit performance in the portfolio, which remains largely in line with expectations.

With that, let's go to the balance sheet and capital on page 4. We ended the quarter with a CET1 ratio of 15.4%, down 30 basis points versus the prior quarter as net income and OCI gains were more than offset by capital distributions and higher RWA. This quarter, the Firm distributed \$11 billion of capital to shareholders, which reflects \$7.1 billion of net common share repurchases and the payment of our common dividend, which has been increased to \$1.40 per share. This quarter's higher RWA is primarily driven by overall business growth in Markets and some seasonal effects.

Now let's go to our businesses, starting with CCB on page 5. Consumers and small businesses remain financially healthy. Despite the recent downtrends in consumer and small business sentiment, based on our data, spend, cash buffers, payment to income ratios, and credit utilization are all in line with our expectations.

Moving to the financial results, CCB reported net income of \$4.4 billion on revenue of \$18.3 billion, which was up 4% year-on-year. In Banking & Wealth Management, revenue was down 1% year-on-year, driven by lower deposit NII, predominantly offset by growth in Wealth Management revenue. Average deposits were down 2% year-on-year and flat sequentially, while end of period deposits were up 2% quarter-on-quarter.

Client investment assets were up 7% year-on-year, predominantly driven by market performance, and we continue to see strong flows into managed products.

In Home Lending, revenue was up 2% year-on-year and originations were up 42% year-on-year, off a small base in a slowly growing market.

Turning to Card Services & Auto, revenue was up 12% year-on-year, predominantly driven by Card NII on higher revolving balances as well as higher operating lease income in Auto. Card outstandings were up 10%, due to strong account acquisition. And in Auto, originations were \$10.7 billion, up 20%, driven by higher lease volume.

Expenses of \$9.9 billion were up 6% year-on-year, predominantly driven by growth in marketing and technology, higher field compensation, as well as higher auto lease depreciation. Credit costs were \$2.6 billion, reflecting net charge-offs of \$2.2 billion, up \$275 million year-on-year, predominantly driven by the seasoning of recent vintages in Card with delinquencies and losses in line with expectations. The net reserve build was \$475 million, of which \$400 million was in Card.

Next, the Commercial & Investment Bank on page 6. CIB reported net income of \$6.9 billion on revenue of \$19.7 billion, which was up 12% year-on-year. IB fees were up 12% year-on-year, and we ranked number one with wallet share of 9%. In Advisory, fees were up 16%, benefiting from the closing of deals announced in 2024. Net underwriting fees were up 16%, primarily driven by elevated refinancing activity, particularly in Leveraged Finance. In Equity underwriting, fees were down 9% year-on-year, reflecting challenging market conditions.

In light of market conditions, we are adopting a cautious stance on the Investment Banking outlook. While client engagement and dialog is quite elevated, both the conversion of the existing pipeline and origination of new activity will require a reduction in the current levels of uncertainty.

Payments revenue was up 3% year-on-year excluding equity investments, driven by higher deposit balances and fee growth, predominantly offset by deposit margin compression. Lending revenue was up 11% year-on-year, driven by lower losses on hedges, partially offset by lower balances.

Moving to Markets, total revenue was up 21% year-on-year, reflecting record performance in Equities. Fixed Income was up 8% with better performance in Rates and Commodities against a relatively weak prior-year quarter. Equities was up 48% as the business performed well during a period of elevated volatility, supported by higher client activity and strong monetization of flows, particularly in Derivatives.

Securities Services revenue was up 7% year-on-year, driven by fee growth and higher deposit balances, partially offset by deposit margin compression.

Expenses of \$9.8 billion were up 13% year-on-year, predominantly driven by higher compensation, legal and brokerage expense. Average Banking & Payments loans were down 3% year-on-year and down 1% sequentially as we continued to observe payoff activity and limited demand for new loans across client segments. Average client deposits were up 11% year-on-year and up 2% sequentially, reflecting increased activity across Payments and Securities Services. Finally, credit costs were \$705 million, largely driven by the net reserve build.

Then to complete our lines of business, Asset & Wealth Management on page 7. AWM reported net income of \$1.6 billion with pre-tax margin of 35%. Revenue of \$5.7 billion was up 12% year-on-year, predominantly driven by growth in management fees on strong net inflows and higher average market levels, as well as higher brokerage activity and higher deposit balances.

Expenses of \$3.7 billion were up 7% year-on-year, largely driven by higher compensation, including revenue-related compensation and continued growth in our private banking advisor teams, as well as higher distribution fees. Long-term net inflows were \$54 billion for the quarter, primarily driven by Equity and Fixed Income. In liquidity, we saw net inflows of \$36 billion.

AUM of \$4.1 trillion and client assets of \$6 trillion were both up 15% year-on-year, driven by continued net inflows and higher market levels. And finally, loans were up 5% year-on-year and flat quarter-on-quarter, and deposits were up 7% year-on-year and down 2% sequentially.

Turning to Corporate on page 8. Corporate reported net income of \$1.7 billion. Revenue of \$2.3 billion was up \$102 million year-on-year. NII of \$1.7 billion was down \$826 million year-on-year. NIR was a net gain of \$653 million compared with a net loss of \$275 million in the prior year. The current quarter included the significant item I mentioned upfront, while the prior-year quarter included net securities losses of \$336 (sic) [\$366] million.

Expenses of \$185 million were down \$1.1 billion year-on-year, driven by the changes to the FDIC special assessment accruals I mentioned upfront.

To finish up, let's turn to the full year outlook on page 9. We continue to expect NII ex. Markets to be approximately \$90 billion. The Firmwide NII outlook has increased to about \$94.5 billion, reflecting an increase in Markets NII, which you should think of as being primarily offset in NIR. Our adjusted expense outlook continues to be about \$95 billion. And on credit, we expect the Card net charge-off rate to be in line with our previous guidance of approximately 3.6%.

So to wrap up, we're pleased with another quarter of strong operating performance – but of course, the focus right now is on the future, which is obviously unusually uncertain. But no matter what outcomes eventually materialize, we are eager to do our part to continue to support our clients, the markets and the broader economy, and we believe the banking system will be a source of strength in this dynamic environment.

And with that, let's open the line for Q&A.

QUESTION AND ANSWER SECTION

Operator: Thank you. Please stand by. Our first question comes from Ken Usdin with Autonomous. You may proceed.

Ken Usdin

Analyst, Autonomous Research

Q

Good morning, Jeremy. Wondering if you could start by just kind of amplifying just the macro commentary that you started off on. And given the uncertainty in the world that you referenced, just how are you seeing the activity change across the customer base from consumers to wholesale? And can you just talk through how that's also just informing any changes in your – some of your growth and reserving expectations? Thanks.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Sure, Ken. So I mean, at a high level, I would say that obviously, some of the salient news flow is quite recent. So, we've done some soundings and some checking both on the consumer side and on the wholesale side. I think on the consumer side, the thing to check is the spending data. And to be honest, the main thing that we see there, what would appear to be a certain amount of frontloading of spending ahead of people expecting price increases from tariffs. So ironically, that's actually somewhat supportive, all else equal. But I think what it sort of highlights is that during this transitional period and this elevated uncertainty, you might see some distortions in the data that make it hard to draw larger conclusions.

In terms of our corporate clients, obviously, they've been reacting to the changes in tariff policy. And at the margin, that shifts their focus away from more strategic priorities with obvious implications for the Investment Banking pipeline outlook towards more short-term work, optimizing supply chains and trying to figure out how they're going to respond to the current environment. So as a result, I think we would characterize what we're hearing from our corporate clients as a little bit of a wait-and-see attitude.

I do think you see obvious differences across sectors. Some sectors are going to be much more exposed than others and have more complicated problems to solve. And also across the size of the clients, I think smaller clients, small business and smaller corporates are probably a little bit more challenged. I think the larger corporates have a bit more experience dealing with these things and more resources to manage. So that's a little bit our read of the situation right now. But certainly, a bit of a wait-and-see attitude. It's hard to make long-term decisions right now, and so we'll see how that plays out.

Ken Usdin

Analyst, Autonomous Research

Q

Yeah. And just one question on the NII ex. Markets holding at \$90 billion. Can you just walk us through the puts and takes of just what's the new curve you're using, which also is subject to change every day and what might have been some of the positive offsets to if you put in more expected cuts than you had before? Thanks.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

Yeah, that's a good question, Ken. You're right. So if you remember, last quarter we said that we had one cut in the curve. I think latest curve has something like three cuts. And so, we've talked a lot, obviously, about how we are asset sensitive. You now see our EaR disclosed in the supplement, and probably our empirical EaR is a little bit higher than our modeled EaR as a result of the relatively low – lower than modeled rates paid in Consumer. So when you put that together, all else equal, the drop in the weighted-average IORB, which is about 22 basis points, should produce a notable headwind in our NII ex. Markets.

Jamie Dimon*Chairman & Chief Executive Officer, JPMorganChase***A**

In the curve basically.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

Yeah. This is basically – that's just mechanically...

Jamie Dimon*Chairman & Chief Executive Officer, JPMorganChase***A**

This is guaranteed not to happen.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

So that's mechanically just flowing through the curve. So yeah, your question is that given that, why are you not revising down? And the answer to that is that across all the puts and takes actually, our number is a tiny bit lower. It's just not enough to warrant a change in the outlook. But we do have some offsets. So we have some balance effects that are favorable. You will have noted that I talked about higher wholesale deposit balances, for example. We see beta outperforming in a couple of different places in CDs and in wholesale.

The other thing is that you'll recall, we talked before about having a placeholder in our NII outlook for the potential impact of the Card late fee rule. We've now removed that. So that's a little bit of an offset as well. So that's kind of how you get to unchanged, even though clearly, all else equal, the lower expected front-end rates are a headwind.

Operator: Thank you. Our next question comes from Erika Najarian with UBS. You may proceed.

Erika Najarian*Analyst, UBS Securities LLC***Q**

Yes. Good morning. This question is for Jamie. Jamie, you were on the media today talking about potential economic turbulence. But Jeremy also mentioned that banking should be – the banking system should be a source of strength in this turbulence. The equity market always seems to think about the banks as weaker players given how they trade the stocks more on sentiment and fear rather than the math of – the ability of banks to absorb provisions going forward, if we do fall into a slower economic downturn.

So, I guess, just the question here is, can you double-click on how you think this is going to impact the economy going forward and maybe double-click on Jeremy's statement that the banking system should be a source of strength?

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

I just – before Jamie answers that, Erika, I just want to make one brief comment, which is the banking system being a source of strength means what it says. In other words, banks doing their job to support the economy. That's not a statement about bank equity performance and the extent to which banks are cyclical or not. Like obviously, a recessionary environment, as I've frequently said, all else equal, is bad for banks from an equity performance perspective. We're talking about the financial strength of banks' balance sheets and our ability to support our clients in a difficult moment.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Everyone trades stocks in a different way, so sentiment – but banks are a cork in the ocean when it comes to the economy. If the economy gets worse, credit losses will go up, volumes can change, deal curves can change. And we're not predicting all of that. What I would say is our excellent economist, Michael Feroli, I called him this morning, specifically to ask him, how they're looking at their forecast today, they think it's about 50-50 for a recession. So I'll just refer to that. Obviously, if there's a recession, credit losses will go up and other factors will change, too.

And I think the one thing I'll add to what Jeremy said is – and I don't usually pay that much attention to anecdotes, but this time I am. And I think you're going to see a lot of companies – you guys – not you, but the analyst community has already reduced its earnings estimates for the S&P by 5%. So it's – now it's up 5% as opposed to up 10%. My guess is that will be zero and negative 5%, probably in the next month.

And then you're going to hear 1,000 companies report, and they're going to tell you what their guidance is. My guess is a lot will remove it. They're going to tell you what they think it might do to their customers, their base, their earnings, their cost, their tariffs. It's different for every company. But I assume you'll see that. And anecdotally, a lot of people are not doing things because of this. They're going to wait and see. And that's M&A, that's M&A with middle market companies, that's people's hiring plans and stuff like that. So people have to adjust to this new environment. And I think we'll see what it is.

I just also want to point out, just to – so you can round it up. This is to make you feel comfortable, not uncomfortable. When COVID hit, unemployment went from like 4% to 15% in a couple of months, and we had to add to reserves in a two-month period of \$15 billion. And then to show you how stupid CECL is, in the three month – three quarter period, we took down the \$15 billion. So, just – that just sizes up a bad recession. If it's a mild recession, it will be less than that. If it's a really bad recession, it will be more than that. Either way, we can handle it and serve our clients. Earnings won't be great and the stocks will go down, which I look at as an opportunity to buy back more stock.

Erika Najarian

Analyst, UBS Securities LLC

Q

Got it. And a second follow-up question. And I don't disagree with you guys on equity market performance of bank stocks. It's just that the mindset of portfolio managers is they always go back to sort of the lowest common denominator of fundamental performance versus thinking about resilience.

And to that point, the second question is on the reserve. Jeremy, you mentioned a weighted-average unemployment rate of 5.8%. I think that's above where economists are thinking we could peak even in a recession scenario. How should we think about any incremental builds from here? And what you are going – obviously, deterioration in the outlook, but what more do you need to see in terms of how you make decisions about further builds from here?

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Yeah, Erika, it's a good question. But the truth is there's just a little bit too much uncertainty right now for me to sort of give an outlook for reserves, which is generally not a thing that we do anyway. As I mentioned in my prepared remarks, the [indiscernible] forecast at the end of the quarter was the sort of bog standard, no landing, barely any increase in unemployment. Given that we knew at the time that there was – there were some big pending announcements, and there was quite a bit of elevated uncertainty around that, it felt like the forecasts were kind of lagging because people were just waiting to actually get the information and so it felt appropriate to add a little bit of downside skew to our probability assessment, which is what led to the increase and what led to the build.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

We use this weighted-average unemployment thing as a useful way to help explain what's going on inside the reserve. But obviously, the actual mechanisms are quite complex, the depth in any financial recession, the timing of it, distribution of outcomes, which sectors have hits, idiosyncratic stuff in wholesale. There's a lot.

I think on consumer, as Jamie mentioned, it is worth remembering that by far the most important variable is unemployment. So if the labor market remains very strong, consumer credit will probably be fine. If it doesn't, then you're going to see it play through the way it always does.

Erika Najarian

Analyst, UBS Securities LLC

Q

Thank you.

Operator: Thank you. Our next question...

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Thanks, Erika.

Operator: I apologize. Our next question comes from John McDonald with Truist Securities. You may proceed.

John McDonald

Analyst, Truist Securities Inc.

Q

Hi, good morning. Jeremy, on that same topic, no change to the full year credit Card net charge-off forecast. How do we square that with the rising recession risk? Is it because you already have a couple of months of delinquencies kind of baked in the cake and this is more an issue for next year, or just too early to call?

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

We should have not given you that forecast. We don't know what the number is going to be. That's a...

John McDonald

Analyst, Truist Securities Inc.

Q

Yeah.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

I would say that's a short-term number, and based on what's happening today, there's a wide range of potential outcomes.

John McDonald

Analyst, Truist Securities Inc.

Q

Yeah. Okay. Okay, yeah, that's what we were kind of thinking. And then...

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

But, mechanically, John, though, as you alluded to, there are some mechanical elements to the way Card charge-off works that means that it's pretty baked pretty far ahead of time.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

The next couple of quarters. Yeah.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

So, sort of echoing Jamie's point, it just doesn't necessarily tell you that much about what might actually happen through the end of the year. Even if unemployment were to increase significantly, it probably wouldn't flow through the charge-offs until later.

John McDonald

Analyst, Truist Securities Inc.

Q

Okay. Got it. And then just on capital, how does this type of macro uncertainty impact your thinking around conserving capital as opposed to deploying it through your investment agenda and buybacks as the stock gets cheaper? Or just, are you still looking to arrest the increase or does this kind of change it?

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

The investment that we do in banks, branches, technology, AI is going to continue regardless of the environment. And then we have – depending what happens to Basel III and CCAR and G-SIFI and all that, \$30 billion to \$60 billion of excess capital. And in the Chairman's letter, I wrote about what we think of that. But based upon the environment, the turbulence issues, I like having excess capital. We are prepared for any environment. And that's so we can serve clients. That's not for any other reason. So, we have plenty of capital and plenty of liquidity to get through whatever the stormy seas are.

John McDonald

Analyst, Truist Securities Inc.

Q

Okay. Thank you.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Thanks John.

Operator: Thank you. Our next question comes from Matt O'Connor with Deutsche Bank. Your line is open.

Matt O'Connor

Analyst, Deutsche Bank Securities, Inc.

Q

Good morning. Just wanted to drill down on the credit card spend. Any comments in terms of changing patterns on the consumer card spend? There's been headlines in travel kind of going down. Just talk about some of the puts and takes in that up 7% year-over-year.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Yeah, it's a good question and we're seeing that too. So let me talk about travel. I mean we obviously saw the airlines discuss what they are seeing as headwinds for them, specifically in airline travel, and we're seeing that too through the card spend. It's not obvious to us that that's necessarily an indicator for broader patterns. There are a variety of potential explanations for the narrow drop in airline spend.

And as I mentioned previously, another thing that we are seeing looking at the April data is what would appear to be a little bit of front-loading of spending, specifically in items that might be – have prices go up as a function of tariffs. So you see people behaving rationally, and I have noted even you hear anecdotes, and I've seen evidence of companies specifically advertising we have pre-tariff inventory and so on and so forth. So it's not that surprising that you're seeing that a little bit in the spending data.

The other thing that people are kind of interested in this space is like what's happening by income band, because we have seen some of the retailers and other folks talking about weaknesses in the lower income segment. And I think when we look at our Card data and also our cash buffers and peoples' checking accounts, of course, it is true that it is relatively weaker in the lower income segment. But when you take a step back and you ask, are we seeing signs of distress in the lower income segment? The answer is no. So, sure, the margin and cash buffers are lower, and you see some rotation of spend and spending is a little bit weaker than it was in the peak spending moments. But actually, some of the increases in spending that we're seeing in April are actually coming from the lower income segment. So no evidence of distress, I would say.

Matt O'Connor

Analyst, Deutsche Bank Securities, Inc.

Q

Okay. That's helpful color. And then just separately, if we look at the delinquencies for the Home Lending, the increase both quarter-on-quarter and year-over-year, is that just some of the noise from the First Republic deal as you take the marks upfront and then those portfolios essentially re-season from an accounting point of view? Or is there something else going on there?

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Sorry, the – I actually didn't hear. Which fees?

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Delinquencies in Home Lending.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

I didn't – interesting. I haven't looked at that. We'll have to get back to you on that

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

I don't think it's anything...

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Whatever it is, it wasn't important enough to get raised, so.

Jamie Dimon*Chairman & Chief Executive Officer, JPMorganChase***A**

It could be the First Republic accounting, yes

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

Yeah. Anything is possible. We'll get back to you on that.

Matt O'Connor*Analyst, Deutsche Bank Securities, Inc.***Q**

Okay. Thank you.

Operator: Thank you. Our next question comes from Steven Chubak with Wolfe Research. You may proceed.

Steven Chubak*Analyst, Wolfe Research LLC***Q**

Hi. Good morning and thanks for taking my questions. Wanted to start off with one on the proposed SLR changes and just the impact of rate volatility. The Treasury is committed to providing relief to the banks under the SLR just to help mitigate some of the volatility in the 10-year. But given the geopolitical concerns, weakening global demand for treasuries, how does it inform your appetite just for purchasing U.S. Treasuries if those reforms are implemented and just how you're managing rate risk maybe more holistically across the Firm, just in light of some the recent volatility?

Jamie Dimon*Chairman & Chief Executive Officer, JPMorganChase***A**

Yes. So SLR alone isn't going to change that much for us. It may change for other people. We really need reform across SLR, G-SIFI, CCAR, Basel III and LCR, all of which have deep flaws in them to make a material change. And remember, it's not relief to the banks; it's relief to the markets. JPMorgan will be fine with/without an SLR change. The reason to change some of these things is so banks – the big market makers could intermediate more in the markets. If they don't – if they do, spreads will come in, there'll be more active traders. If they don't, the Fed will have to intermediate, which I think is just a bad policy idea that every time there's a kerfuffle in the markets, the Fed has to come in and intermediate. So they should make these changes.

The point – the reason why is when you have very – a lot of volatile markets and very wide spreads and low liquidity in treasuries, it affects all other capital markets. That's the reason to do it; not as a favor to the banks themselves. And we don't take more interest rate exposure to this in any way, shape or form. So it's not like we're going to change our position. We intermediate in the markets to help clients do what they have to do. And if the banks could take bigger positions, they would have just larger dealer positions and take no – basically take not much more interest rate exposure. I should say that our folks did a fabulous job trading this quarter.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

And Steve, all I would add to that is that it is, of course, true, and we all remember the moment a few years ago when intermediaries were, in fact, bound by SLR as a result of the expansion of the deposit base, and extraordinary actions needed to be taken to address that. So we've seen when it is binding, and it works not as designed, which is why we do very much agree that it should be fixed. I think our point is a little bit, as Jamie said in his Chairman's letter, that it's not the only thing that needs to be fixed, and there are interactions among all these things. And we, as a bank, are not particularly bound by it.

There is some interesting nuance too in terms of the potential TLAC issuance impact there, which is quite sensitive to which particular fix gets put in. So that will be an interesting thing to watch.

Steven Chubak*Analyst, Wolfe Research LLC***Q**

Thank you both for that perspective. And just for my follow-up, did want to ask on the Markets outlook. So, admittedly, less surprising to hear some of the cautious IB commentary in light of the uncertainty. But was hoping you could just speak to the Markets businesses which have been performing extraordinarily well of late and just given the combination of elevated volatility, but also some indications that clients are taking down risk, how you expect that business to perform over the coming quarters.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

Yeah. It's a good question. As you know, Steve, we're obviously not going to give Markets guidance. Your guess is as good as ours at some level. But the ingredients are the right ingredients. I mean, we've often discussed about how this business, all else equal, benefits from a volatile environment if markets are operating relatively normally, which they more or less have been. Of course, it's not guaranteed. We need to do a good job managing the risk. And yeah, there are states of the world where if our clients are struggling or deleveraging or taking down risk, that could be a headwind for us. So we're going to just do what we always do and try to manage the risk well and serve our clients, but we were certainly happy to see the performance this quarter.

Steven Chubak*Analyst, Wolfe Research LLC***Q**

That's great. Thank you both for taking my questions.

Operator: Thank you. Our next question comes from Gerard Cassidy with RBC Capital Markets. You may proceed.

Gerard Cassidy*Analyst, RBC Capital Markets LLC***Q**

Thank you. Hi, Jeremy and Jamie. Can you guys share with us – if you take a look at the non-traditional lenders, private credit lenders, they've been very active in grabbing market share from the traditional commercial banks over the last two or three years, particularly since the initial Basel III Endgame proposal came out in July of 2023, which is no longer applicable. But are you guys seeing any opportunities where customers may re-intermediate back into the banks like your bank because of this volatility?

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

I mean that's hard to tell, Gerard. I think it's too early to tell. But what I would say is that it kind of – your question aligns with what we've been saying about this space for some time, which is we want to be product agnostic here and give our clients the best option that makes sense for them in the moment. Whether that's a traditional syndicated lending facility or something that looks more like a unitranche, direct lending type structure, we're open for business for all of it.

And I would say that when we talk about the financial system being a source – the banking system being a source of strength in this environment, part of what we're talking about is our commitment and willingness to lend through cycles, as we've always done in the past and that we have the underwriting capability and the capital and the liquidity and the experience to be reliable lenders in serving our clients no matter what type of environment we're in. So, if that means that we have an opportunity to compete incrementally even more effectively in this environment, that will be great.

Gerard Cassidy*Analyst, RBC Capital Markets LLC***Q**

Very good. Thank you. And then as a follow-up, you both just talked about the potential changes to the different regulatory outcomes for you and your peers, whether it's SLR or the G-SIB buffer, et cetera. Can you opine for us your views? Are you more confident with the new administration, the new personnel, whether it's Treasury Secretary Bessent or others, the nominees for different regulatory heads that there will be a better chance of real regulatory reform, they see it the way you guys do versus the prior administration?

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Yeah, I mean, Gerard, we always say this, and it's true, which is that we work with all administrations and every administration as constructively as possible to express our opinions and advocate for the things that we think are right for the banking system and for the economy as a whole, and that was true before, and it's true now with this administration as well.

Clearly, the administration has been quite vocal about wanting more pro-growth policies at the margin and for wanting to make it easier for banks to participate more constructively in the economy. And as we see the various folks and the various agencies go through the confirmation process, it will be helpful to have people in seats and get to work on some of the things that we want to get done. So let's see how that plays out, but we're looking forward to continuing to engage constructively.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Yeah. I think there's a deep recognition of the flaws in the system, and there should be, and fortunately, they're going to take a good look at it.

Gerard Cassidy

Analyst, RBC Capital Markets LLC

Q

Very good. Thank you.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Thanks, Gerard.

Operator: Thank you. Our next question comes from Ebrahim Poonawala with Bank of America. You may proceed.

Ebrahim Poonawala

Analyst, Bank of America Merrill Lynch

Q

Thank you. Good morning. I guess just wanted to follow up on the macro uncertainty. I think when you talk to investors, we've gone from enthusiasm for a pro-business administration to a lot of headwinds. And I think Jamie mentioned you'll have companies take down guidance, et cetera, potentially over the coming weeks. I'm just wondering what is it you think we need to see before this uncertainty abates, or the 90-day pause that we saw with some of the other countries on tariffs. Is that enough? Or I'm just wondering when you talk to clients, corporate CEOs, what are they looking for from the administration that would inject confidence to get back anywhere close to where we were maybe 60 or 90 days ago?

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

First of all, some of all the issues that are raised existed before the new administration, like the geopolitical situation, the excess fiscal deficits, poorly done regulations and all that. Obviously, pro-growth is good, pro-business is good, pro-dereg is good. I think the best thing to do is to allow the Secretary of Treasury and the folks working with him and the administration to finish as quick as possible the agreements that they need to make with – around tariffs and with our trading partners. And I think there'll be agreements in principle. They're not going to be – trade agreements themselves would be 5,000 or 10,000 pages long. And that's the best way to go about it right now. That does not mean you won't have some of the effects take place anyway.

Ebrahim Poonawala

Analyst, Bank of America Merrill Lynch

Q

Got it. I guess as a follow up, I think there's a lot of concern also in the treasury markets. We've seen the 10-year move from 3.99% to 4.50% in a matter of a week. Just your comfort level on terms of the functioning of the treasury market. Do you see the Fed stepping in, pausing QT, maybe even initiating some treasury purchases? Just any color would be great.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Yeah. But again, I mean, we have sticky inflation. We had that before. I personally have told you all, I don't think that's going to go away, and that relates to that. Obviously, the U.S. dollar still is the reserve currency, and that isn't going to change, though some people may feel slightly differently about it. And the Fed – we've been inconsistent. There will be a kerfuffle of the treasury markets because of all the rules and regulations. I've told you that consistently. It happened in COVID, it happened before, it happened. That will happen. And then when that happens, the Fed will step in. That's what happens. And they're not going to do it now because you don't have all those issues yet. They'll do it when they start to panic a little bit, and we don't know if and when that's going to happen, and we'll see.

But the notion that the 10-year Treasury has to go down is a false notion. If we look at history in prior times, when we have huge global deficits. Back in the '70s, in the '60s, the guns and butter. And tariffs, at least our economists think will be inflationary to 0.5% or something like that. So we'll have to wait and see and deal with it.

Ebrahim Poonawala

Analyst, Bank of America Merrill Lynch

Q

Thank you.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

For most – mostly haven't dealt with this stuff before, and you're going to see a lot of stuff taking place shortly in the next couple of months, and then we'll know.

Ebrahim Poonawala

Analyst, Bank of America Merrill Lynch

Q

Got it. Thank you so much.

Operator: Thank you. Our next question comes from Jim Mitchell with Seaport Global Securities. You may proceed.

Jim Mitchell

Analyst, Seaport Global Securities LLC

Q

Hey, good morning. Jeremy, just on – with four – three to four cuts sort of mostly in the back half, June to December, how do you think about the trajectory of NII this year? Is there a little more pressure towards the end of the year into 2026? Just trying to think of that around that trajectory and jumping off point into next year.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Yes. It's funny, Jim, because I was asked on the press call, how come we're not like suspending guidance or whatever? And my answer was like...

Jim Mitchell
Analyst, Seaport Global Securities LLC

Q

Right.

Jeremy Barnum
Chief Financial Officer, JPMorganChase

A

...well, whatever. We give guidance and we do our best, and it's contingent on a variety of external variables, and we always make our guidance contingent on that. So in that context...

Jamie Dimon
Chairman & Chief Executive Officer, JPMorganChase

A

and the yield curve you're using...

Jeremy Barnum
Chief Financial Officer, JPMorganChase

A

Yeah, yeah, yeah.

Jamie Dimon
Chairman & Chief Executive Officer, JPMorganChase

A

...which we know will not happen.

Jeremy Barnum
Chief Financial Officer, JPMorganChase

A

Yeah. And the particular nuance, as you'll recall from last quarter, where we went into some detail about the various drivers of the NII outlook, including a little bit of a suggestion about the quarterly trajectory is that it's both the timing of rates and the – our expected evolution of deposit growth in the different businesses and how card revolve and how that was all going to interact, producing a potential trough in different moments and then so on and so forth.

I think that given everything that's going on on that one, probably we'll wait for next quarter to give you any more color on that. Certainly, the back-loaded cuts, all else equal, from a run-rate perspective, introduced a little bit of a headwind on an exit rate going into next year. We'll just have to see how the balances play out through the next three quarters.

Jim Mitchell
Analyst, Seaport Global Securities LLC

Q

Right. And maybe just to...

Jamie Dimon
Chairman & Chief Executive Officer, JPMorganChase

A

It will not happen that way, and we have a lot of options in what we want to do to change our exposure to interest rate.

Jim Mitchell
Analyst, Seaport Global Securities LLC

Q

Right. And maybe just on that point on volumes and deposits, obviously, this kind of volatility tends to drive – as corporates and investors go to cash, tends to drive higher deposits. Did you see that trend in March and particularly in April? What are the trends like in the deposit side of the equation?

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

It's a little hard to tell, to be honest. It is true that wholesale deposits this quarter outperformed for us relative to our expectations. I don't think I can say with any confidence that that's a result of the environment that we're in. So I think next quarter will probably be a better time to assess that.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

I'll just – I'll say it may not be deposits. It may be treasury bills or various other things. And what you've seen which is different, it's not the risk off trade in the 10-year. That is fundamentally different this time.

Jim Mitchell

Analyst, Seaport Global Securities LLC

Q

Right. Okay. Thanks for taking my questions.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Thanks.

Operator: Thank you. Our next question comes from Betsy Graseck with Morgan Stanley. You may proceed.

Betsy L. Graseck

Analyst, Morgan Stanley & Co. LLC

Q

Thanks. Good morning, Jamie. Good morning, Jeremy. Two questions. One for Jamie, just to kick off.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Good morning.

Betsy L. Graseck

Analyst, Morgan Stanley & Co. LLC

Q

Jamie, you've been through many cycles. And I think we're all interested in understanding how you think this next cycle is likely to progress. And I'm wondering, is there anything that you've seen in the past that looks like this, or that you would suggest if any slowdown coming forward, is it more likely to be similar to what kind of prior cycle you've seen?

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

An almost impossible answer. We look at all the cycles. And you know we prepare for a full range of outcomes. We're not – I don't personally like predicting what the future is going to hold. But I do – I've pointed out over and over, there's a lot of issues out there. I think some of those issues, you are going to see them resolve, for better or for worse, in the next four months.

So maybe when we're doing this call next quarter, we won't have to be guessing. We'll actually know what the effect of some of these things was with some predictability and stuff like that. But it's – the result in a bank is almost always the same, which is volatile markets, credit losses go up, people get more conservative, investments go down, what looks like a recession. Is it mild or hard? **I don't know and – but we are – I've been quite cautious, and you can see in our capital, our liquidity, our position, our balance sheet. And so we're prepared. But we do all that so we can**

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

serve our clients through thick or thin. We're not guessing about what the future is going to hold. Obviously, if you look at our numbers, we have the margins and capability to get through just about anything.

Betsy L. Graseck

Analyst, Morgan Stanley & Co. LLC

Q

Excellent. Okay. No, thank you for that. And then...

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

But Betsy, this is different, okay? This is different. This is the global economy, and please read my Chairman's Letter. The most important thing to me is the Western world stays together economically when we get through all this and militarily to keep the world safe and free for democracy. That is the most important thing. I really almost don't care fundamentally about what the economy does in the next two quarters. That isn't that important. We'll get through that. We've had recessions before and all that. It's the ultimate outcome. What's the goal? How can we get there? And it's literally that. I mean – and the China issue is a major issue. I don't know how that's going to turn out. We obviously have to follow the law of the land, but it's a significant change that we've never seen in our lives.

Betsy L. Graseck

Analyst, Morgan Stanley & Co. LLC

Q

Okay. Thank you so much for that. And yes, looking forward to the next four months and clarity coming. So then one for Jeremy. Question on the wholesale loans. I'm going into this because I noticed your average loan growth, I think it was running at about 2% year-on-year. And then end of period loans was up 5% and wholesale loans was up 7%. So I'm just wondering if there was some line drawdowns at quarter end. And it's a broader question on just liquidity. Do you see your customers looking for more liquidity? Are they drawing down lines? And maybe if you could speak to liquidity in the front end of the market, that would be helpful, too. Thank you.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Yeah, it's a good question, Betsy. So a couple of things. One is in our soundings of our wholesale clients during sort of the moments of peak uncertainty, we did hear them talking about wanting to focus on shoring up liquidity. Interestingly, I actually asked the question like a day ago, whether we were seeing draws, meaningfully observable draws from clients. And the answer to that question was no, at least not yet. So, I don't know what to make of that, but perhaps it suggests that we do not see that level of heightened anxiety that people are more just focusing on addressing their supply chain issues right now. Yeah. So on wholesale loans.

Beyond that, I don't think there's that much of a story. Now we're seeing a bit more growth in sort of like Markets loans as opposed to traditional C&I loans in the current moment, but that's neither here nor there. Did you have – yeah, you asked – what did you ask also, front end of the yield curve, liquidity?

Betsy L. Graseck

Analyst, Morgan Stanley & Co. LLC

Q

Yes, just in...

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Was that your question?

Betsy L. Graseck

Analyst, Morgan Stanley & Co. LLC

Q

...money markets, Fed funds, the front end seemed to suggest...

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Yeah. What we've heard from our Markets colleagues is that that's actually functioning quite smoothly.

Betsy L. Graseck

Analyst, Morgan Stanley & Co. LLC

Q

Okay. Thank you.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Thanks

Operator: Thank you. Our next question comes from Mike Mayo with Wells Fargo Securities. You may proceed.

Mike Mayo

Analyst, Well Fargo Securities LLC

Q

Hey, Jamie, you just said on this call, there's a "Deep recognition of flaws" by the new regulatory regime. And can you put – you or Jeremy, put some meat on the bones as far as what's been an ideal scenario? You keep the safety and soundness of the system, but you rid all – as much red tape and bureaucracy as possible. How much could expenses potentially decline? I assume you pass on some of that to customers and you'd keep some of that, and the regulators would save money. So, some meat on the bones about the potential concrete savings from deregulation.

But before that, the negative, which you highlight in the press release and the Chairman Letter about trade wars, Jamie, you went from trade wars "Get over it" to this week say, "Do something." So just as far as the tariff journey, what were you initially expecting to what happened and do you really think next earnings call we'll be through most of the uncertainty? Thanks.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Yeah. No, I don't think we'll necessarily be through all the uncertainty. I think you'll just know a lot more. And my quote was about, get over it. I wish I hadn't said it. I was specifically referring to tariffs relating to protecting national security. National security is paramount. All things should be subordinated to it. You may need tariffs to help fix some of the problems related to national security. National security is a small part of trade, so – and it's rare earths, penicillin, medical ingredients, certain types of – obviously, you've heard about semiconductors. That was my quote about, get over it. I did not change my view about it.

I would like to see the administration negotiate trade deals. I think they'll be good for everybody, and they want to do it too. They've said they want to do it. They've said they're having conversations with 70, 80 different people. And so I do think if the regulators change regulations, it will free up capital and liquidity to finance the system. And I don't – I wouldn't expect an expense drawdown that you're going to see. There will be thousands – hundreds of people, maybe, but it's not going to be passed on. But it will reduce net-net the cost of liquidity and the cost of loans and the cost of mortgages, if it's done right.

I specifically pointed out the mortgage issue in my Chairman's letter this year about if they do some of these reforms, the cost of mortgages would come down 70 basis points. If I were them, I'd be focusing on that right now.

Mike Mayo

Analyst, Well Fargo Securities LLC

Q

No, and you also mentioned hundreds of billions of dollars of extra lending if you reduce the CET1 ratio, I guess, back down by one-fifth.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

If you do all – you have to fix LCR, G-SIFI, CCAR, SLR, and I think would free up hundreds of billions of dollars for JPMorgan annually of various types of lending to the system. Some would be markets, some would be middle market loans, et cetera. And I pointed out, if you wanted to look at the big numbers, that loans to deposits are now 70% for the banking system writ large. That used to be 100%, and the reason for that isn't – it's not just capital. It is also LCR, it is also G-SIFI, also – and the question you should ask because you are very smart, Mike, is could you have the same – and I believe you have a safer system, lend more money, have more liquidity, eliminate bank runs, eliminate what happened to First Republic and Silicon Valley, and you could accomplish all of that with completely rational and thoughtful regulations. That's what I would like to see them do. I don't know what's going to happen. We're going to...

Mike Mayo

Analyst, Well Fargo Securities LLC

Q

One short...

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

You can read our – I think our NPRs are public and stuff like that. And so they should do that. Just make a better system. Or you have the best in the world. We've kind of started to cripple it slowly. If you don't – I'd say, you look at these rules and regulations. See Europe. If that's where we want to go. Let's just go there.

Mike Mayo

Analyst, Well Fargo Securities LLC

Q

One short follow-up. Just first quarter, you mentioned good credit, good trading, good EPS beat. I'm not sure anyone cares. They're worried more about the things we're talking about here. But in terms of the risk of being an international company, an international U.S. company during trade wars. And I know JPMorgan is a firm that likes to partner with countries as well as communities and customers. So how do you think about that risk? How should we think about that risk? And hopefully, your voice is being heard to speed things along to whatever can be done, getting it done because you could be in the crosshairs at some point.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Yeah. I honestly add that to the list of worries. We will be in the crosshairs. That's what's going to happen. And it's okay. We're deeply embedded in these other countries, people like us. But I do think some clients or some countries will feel differently about American banks, and we'll just have to deal with that.

Mike Mayo

Analyst, Well Fargo Securities LLC

Q

All right. Thank you.

Operator: Thank you. Our next question comes from Glenn Schorr with Evercore. Your line is open.

Glenn Schorr*Analyst, Evercore Group LLC***Q**

Hi. Just one follow-up on this whole risk management/regulatory front. I see, I hear and I agree: flawed regulatory system, could be better. We've had massive volatility. The market plumbing has held in okay so far and you and others have had borderline spectacular trading results. So, has something changed? Are the systems better? Are they better able to handle your risk management, your people, the diversity of your platform better? Or are there still environments where not all volatility is good? Just curious to get your big picture thoughts. Thanks.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

I mean, maybe I'll start with that one, Glenn. So, I guess, I think that your points aren't mutually exclusive. Meaning, I mean, we're always continually improving the franchise. We've talked a lot about inward investment in all of our businesses, including Markets. And so we try to be more complete and invest in technology and work more closely with our clients. So I'm sure we're kind of better at it than we were five years ago, as I think probably everyone is at the margin. I'm not sure that you can associate that with the current performance. I think these just happen to be very favorable conditions that we've managed very successfully.

And to your point, I think your specific question of like is there – are there still forms of volatility that can be bad for the Markets franchise? The answer to that question is definitely yes. When you have gappy volatility with no trading volume, people paralyzed, clients unsure what to do, active managers struggling, those environments are bad. So people make fun of the kind of good volatility, bad volatility story, but whether we like it or not, it's real. And in the end, we just have to manage the risks and serve the clients. And as I said earlier, we're happy to see that...

Jamie Dimon*Chairman & Chief Executive Officer, JPMorganChase***A**

Jeremy – I agree. Jeremy, I would add to that. Volatility leads to bigger bid-ask spreads, that, all things being equal, is better. And it leads sometimes to higher volumes. So you've seen really high volumes in FX and interest rate swaps, a whole bunch of different things, treasuries. That's better. But as Jeremy pointed out, sometimes that kind of volatility leads to very low volumes, like you see in DCM today when you don't have these bond deals where you have less trading, when you have – so it will have lower volumes in certain markets and stuff like that. And how it all filters through is almost impossible to tell. But our folks do a great job and we're here to help our clients. So we know that volumes can go up or down and spreads can go up or down.

But the plumbing of the system, I would say the plumbing worked well during COVID too. I mean, it wasn't the plumbing that was a problem and wasn't even a problem to go back to some of the real crises we've had, so – but you should always worry about that kind of thing, make sure it stays true.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

And I do think that the fact that the revenue performance in this quarter is good shouldn't make us lose focus on the importance of the larger fixes around financial resource deployment by regulated banks to supporting the capital markets ecosystem. Everything Jamie's been talking about SLR, LCR, ILST, G-SIB, Basel III Endgame, RWA, the whole panoply of items, which interacts, as we've often talked about and is miss-calibrated, it will, at the margin, make it harder for banks to serve a stabilizing function in a difficult moment. So that remains quite important as a policy priority.

Glenn Schorr*Analyst, Evercore Group LLC***Q**

That's a great point. Thanks for that. Appreciate it.

Jeremy Barnum*Chief Financial Officer, JPMorganChase***A**

Thanks, Glenn.

Operator: Thank you. And our final question will go to the line of Saul Martinez with HSBC. You may proceed.

Saul Martinez

Analyst, HSBC Securities (USA), Inc.

Q

Okay. Good morning. Thanks for taking my question. Most of my questions have been asked and answered, but I guess I'll ask about costs since nobody has asked it. But I guess how should we think about the cost structure and any sort of cost optimization efforts, if you do see a revenue slowdown, but not necessarily a severe downturn? I think you do have, in the \$95 billion guidance, you do have a good amount of growth penciled in for investing in bankers and branches and tech and marketing. And I guess, do you – does it make sense or under what conditions would it make sense for you to maybe pull back on some of these investments? Or do you think that's just completely shortsighted unless we see a real significant downturn in the economy.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Yeah. So you've slightly answered your own question there, Saul, but it is nonetheless a good question. So let me unpack it a little bit. So the way I think about it is there are some elements of the expense base which automatically reset as a function of the business environment. So we talk about those as volume- and revenue-related expenses. So you will see those come down as a function of the environment. It's also true that there are conceivably certain investment business cases, which depending on how the environment changes, could no longer make sense analyzed in the same way that we analyze them originally, i.e., through the lens of their ability to generate long-term shareholder value through a long investment cycle. And so if for whatever reason the environment changes in such a way as to make certain of those investments less compelling, we would obviously adjust.

Of course, the thing that we're not going to do is stop investing in things that we still think are very compelling to our traditional long-term investment lens, simply for the purposes of achieving a cosmetic reduction in expenses in an environment where you may or may not have a reduction in revenues for unrelated reasons. As you well know, that's just not how we run the company.

This quarter, as it happens, a question you might have is how are you managing to keep your guidance the same with what you're saying about, for example, the Investment Banking outlook? But it's worth noting that Investment Banking performance this quarter was actually fine. As you know, Markets performance was very strong. And there are also some ups and downs in there, I should note, including the fact that there is some sensitivity to the expense base to the strength of the dollar, or weakness in this case. And while some of that is offset in revenue, it's a little noisy, so that's a factor as well. It's small, but I'm just highlighting that there's some slightly non-obvious things that are non-strategic, obviously.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Can I just add a management thing that I think is very important. And I always talk about good expenses and bad expenses and the good expenses of the bankers and branches that we think will pay off and – but there are also bad expenses, which I would put in the category of bureaucracy, lack of efficiency, things you don't need to do.

And you can – if you go to – if you read my Chairman's letter, the last section is called Management Learnings. And if you look at companies that over time fail, it's almost always bureaucracy, complacency, arrogance and lack of attention to detail. And so there is – we're making a – I shouldn't say it, but I'm mad at myself for not doing it sooner to spend a little more time that after COVID – the buildup in headcount, the buildup in rules and regulations, the people working or not working from home. After all of those things, we just think there's more efficiency here.

And I think some of the – and Mike Mayo mentioned the bit about regulation. He is right. There will be reductions in cost because rules and regulations will be modified a little bit. I mean we – I pointed out resolution/recovery, which is a complete waste of time, is 80,000 pages long. Okay. It will never happen that way. CCAR, which is virtually a waste of time, is 20,000 pages long. Okay. We report 1 trillion – I think it's 1 trillion bits of data every day or something like that to the – all the various regulators and stuff like that. There is this excessive cost built up that we – that hopefully we can get rid of and will reduce the cost of the system and – but it's not the new branches, so.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

And the folks here are working on, we call it, streamlining. Jenn Piepszak has got a war room going on it. We already have a significant amount of saves and stuff like that, so – and we're having fun doing it. It's like – to me, it's like exercising and eating your spinach. It's what we should be doing. We haven't done it for a while, so – and I apologize to my shareholders for not having done this a little bit sooner.

Saul Martinez

Analyst, HSBC Securities (USA), Inc.

Q

Okay. That's very clear. Very helpful. Thank you.

Jeremy Barnum

Chief Financial Officer, JPMorganChase

A

Okay. Thanks very much.

Jamie Dimon

Chairman & Chief Executive Officer, JPMorganChase

A

Thank you. We'll talk to you next quarter.

Operator: Thank you all for participating in today's conference. You may disconnect at this time and have a great rest of your day.

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